NON-EQUILIBRIUM

DIGITAL DOLLARS

ISSUE 11 / AUGUST 2026

THE TOKEN THAT HAD TO FUND THE GOVERNMENT

The product is a programmable dollar.
The engine is a portfolio of public debt.

$153BN

ESTIMATED STABLECOIN T-BILL RESERVES / DEC. 2025

BY AVANEENDRA TRIVEDI



PHOTOGRAPH: MEANIEHYAENA / CC BY 4.0

THE DIGITAL DOLLAR HAS A PHYSICAL PORTFOLIO

The token moves in seconds. The reserve waits in bills.



$320BN

STABLECOIN MARKET / FEDERAL RESERVE / APRIL 2026

The most important stablecoin trade is no longer happening on a blockchain. It is happening in the market for United States Treasury bills.

The Federal Reserve estimated the stablecoin market at $320 billion in April 2026. That is still small beside the $7.9 trillion held by money-market funds or the stock of Treasury securities outstanding. But size is the wrong opening question. The sharper question is what happens to each new dollar after a token is issued.

A user sends an issuer one dollar. The issuer creates one dollar of stablecoin. The token can move around the clock, cross borders in seconds, settle a crypto trade, or become collateral inside an onchain market. The cash behind it does something far less futuristic. It is deposited at a bank, placed in an overnight repurchase agreement, invested in a government money-market fund, or used to buy a Treasury security with 93 days or less to run.

The visible product is a programmable dollar. The economic engine is a portfolio of public debt and government-adjacent liquidity.

That distinction changes the story. Stablecoins are commonly described as a payments technology, a crypto-market utility, or a challenge to bank deposits. They are all three. Yet their reserve portfolios make them something else as well: a new class of cash manager whose liabilities can be redeemed on demand and whose assets increasingly live at the very front of the Treasury curve.

The June 2026 revision of a Bank for International Settlements working paper estimates that dollar-backed stablecoins held $153 billion of Treasury bills in December 2025. The same paper estimates that issuers bought $33 billion of bills during 2025, after roughly $35 billion in 2024. The stock is not yet system-defining. The flow is already large enough to measure.

The important question is therefore not whether stablecoins will fund the United States government. They already do. It is whether their growth creates genuinely new demand for bills, merely relocates demand that already existed, and what happens when the direction of that flow reverses.

PHOTOGRAPH: N509FZ. CC BY-SA 4.0.

THE LAW TURNED A TOKEN INTO A PORTFOLIO

One-for-one backing did not mean one bill per coin

The GENIUS Act became Public Law 119-27 on July 18, 2025. Its central balance-sheet rule is easy to state and easy to misstate.

A permitted payment stablecoin issuer must maintain identifiable reserves at least one-for-one against outstanding tokens. But the law does not require one Treasury bill behind every coin. The permitted menu includes cash, balances at the Federal Reserve, withdrawable bank deposits, Treasury bills, notes or bonds with no more than 93 days remaining, overnight repo backed by short Treasuries, overnight reverse repo collateralized by Treasuries, government money-market funds invested only in permitted assets, and certain similarly liquid federal assets approved by a regulator.

That menu matters. It makes the link between token issuance and Treasury demand strong, but not mechanical. An issuer can initially buffer an inflow in bank deposits or repo and later rotate it into bills. It can hold a government money fund that owns bills indirectly. It can alter the mix as redemptions, yields, operational needs, and regulation change.

The law also requires monthly reserve disclosures, including composition, average tenor, and where assets are held. It generally bars issuers from pledging or reusing reserves, except in narrow circumstances. Those provisions reduce opacity and limit credit creation from the reserve pool. They do not remove the basic maturity mismatch between a liability redeemable now and securities that mature later, even if "later" means only a few weeks.

There is another timing detail that enthusiastic summaries often miss. The statute takes effect on the earlier of 18 months after enactment or 120 days after federal regulators issue final implementing rules. The Office of the Comptroller of the Currency proposed implementing regulations in February 2026. At the time of writing in August 2026, the federal rulemaking process was still underway. The architecture is law; its full operating regime is not yet complete.

Even before implementation, the intended direction is clear. Congress did not merely give stablecoins a legal label. It specified the kind of portfolio that a regulated issuer must carry, the information it must reveal, and the redemption promise that portfolio must support.

FIGURE 1 / RESERVE ANATOMY

The reserve was already a bill portfolio

Tether reported $143.7 billion of assets in December 2024. Treasury bills dominated, while repo and government money funds added indirect public-debt exposure.



GOVERNMENT-ADJACENT LIQUIDITY

82.2% T-bills + reverse repo + government money funds

The 82.2% share is calculated from reported categories. "Other" is not reclassified.

SOURCE U.S. Treasury TBAC presentation, Q2 2025, slide 50; issuer data as of Dec. 31, 2024.

METHOD Reported values. Government-adjacent share = 65.7% + 12.0% + 4.5%.

NEW BUYER, OR THE SAME DOLLAR?

The wrapper can change while total bill demand barely moves

The biggest analytical mistake is to equate one dollar of stablecoin growth with one new dollar of Treasury demand.

Imagine that an American household moves $1,000 from a government money-market fund into a stablecoin. The fund sells or allows $1,000 of bills to mature. The stablecoin issuer buys $1,000 of bills, directly or through its own government money fund. The issuer's balance sheet grows, but aggregate demand for public debt may barely change. The holder changed. The underlying preference for short, safe dollar assets did not.

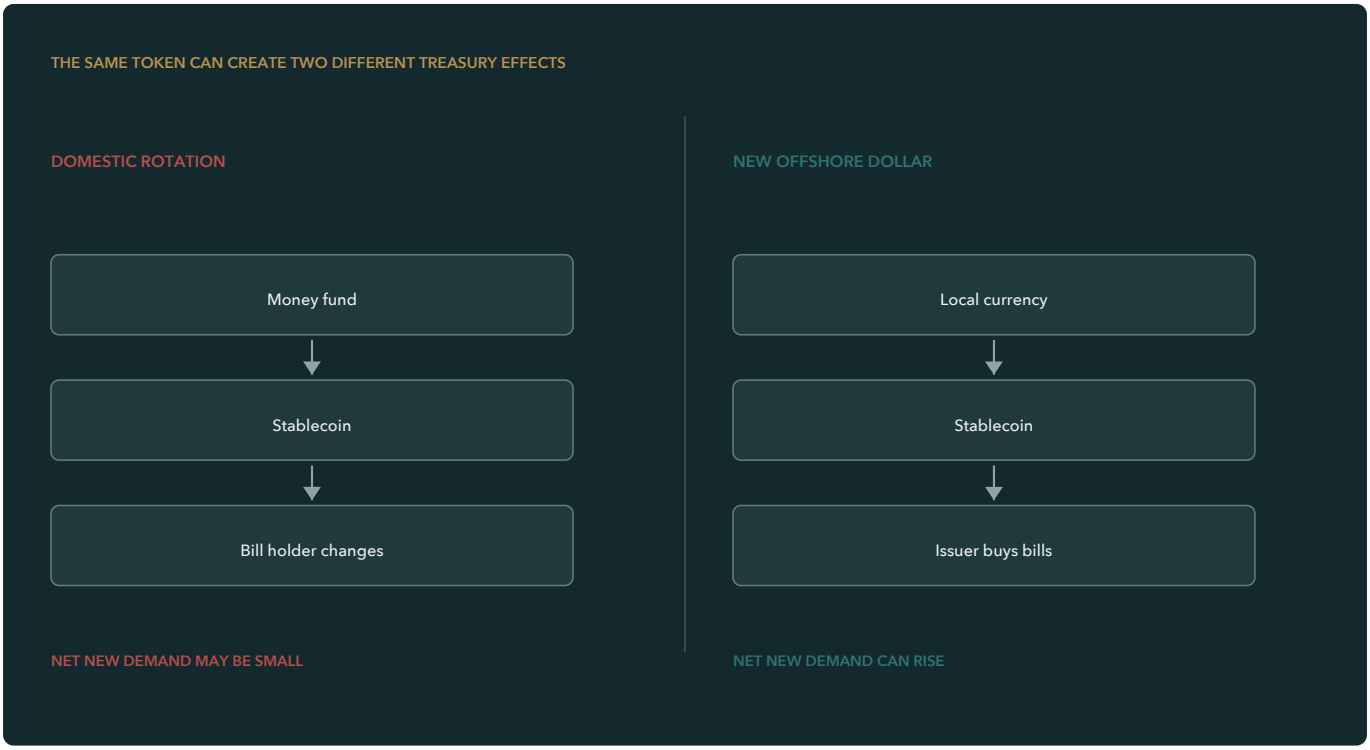
Now imagine that a business outside the United States converts local currency into a dollar stablecoin because it previously had no practical access to a dollar account. The issuer receives funds that were not already sitting in a United States deposit or money fund and invests them in bills. That transaction can create new demand for dollars and for the collateral behind them.

The Treasury Borrowing Advisory Committee made precisely this distinction in its first-quarter 2026 presentation. Stablecoins could increase demand for short-end issuance if their growth is driven by new offshore demand not already in dollars. The committee's presenters estimated that Tether and Circle held less than 1 percent of Treasuries outstanding, that bills represented 53 percent of their combined assets, and that their T-bill holdings had risen by $70 billion since 2022.

This is why forecasts of trillions in future stablecoin supply are not forecasts of equal-sized net Treasury purchases. The correct bridge has three parts: where the buyer's money came from, which reserve asset the issuer chose, and which investor sold or failed to buy the bill.

Federal Reserve research reaches the same conclusion from the banking side. Stablecoin adoption can change the composition of bank funding even when the aggregate amount of deposits changes little. Treasury payments may flow back to banks. Government money funds may intermediate the shift. A token can be new technology while the funding loop underneath it remains familiar.

The stablecoin is therefore not a new buyer in one simple sense. It is a new balance sheet through which old and new dollar demand can travel.



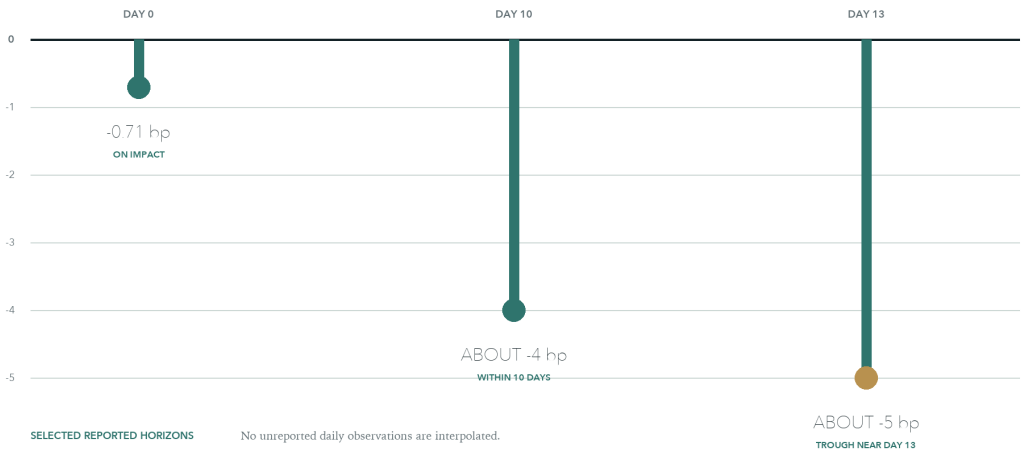
SMALL STOCK. MEASURABLE PRICE.

A narrow habitat can move before aggregate ownership looks large

FIGURE 3 / PRICE IMPACT

The inflow moved the bill yield on a lag

A $3.5 billion five-day stablecoin inflow compressed the three-month Treasury bill yield in the BIS preferred instrumental-variable estimate.



SOURCE Ahmed and Aldasoro, BIS Working Paper 1270, revised June 2026, pp. 2, 4, and 24-25.

METHOD Three milestones reported in the paper; $3.5B is approximately a two-standard-deviation inflow.

If stablecoins hold less than 1 percent of Treasuries, can they matter for yields? At the three-month point, the evidence says they already can.

Rashad Ahmed and Inaki Aldasoro study daily observations from January 2021 through March 2026. Their preferred design uses differences in growth across token-and-blockchain pairs to isolate variation in stablecoin flows that is less contaminated by broad moves in crypto prices or financial conditions. In their estimate, a $3.5 billion inflow over five days, roughly a two-standard-deviation event, lowers the three-month Treasury bill yield by 0.71 basis points on impact.

The response deepens as issuers allocate the new reserves. It reaches roughly 4 basis points within 10 days, bottoms near 5 basis points around day 13, and remains around 3 to 4 basis points through much of the 10-to-25-day window before fading. The effect is concentrated in the maturities stablecoin issuers prefer. The paper finds limited or no response at six months, two years, and ten years.

This is not proof that every mint moves the market by a fixed amount. The estimates come with uncertainty, rely on an identification strategy, and can vary with market conditions. The authors find a stronger effect when Treasury-market intermediation is stressed and after the stablecoin sector becomes larger and more institutionally embedded.

That state dependence is the real warning. A buyer does not need to own a large share of the entire bond market to move the price of one narrow habitat. It needs concentrated demand, limited substitute maturities, and dealers that are less willing to absorb the flow. Stablecoins increasingly meet the first two conditions. Stress can supply the third.

The bill market is deep. It is not frictionless. A new marginal buyer can compress a yield even while remaining small in the Treasury's aggregate ownership table.

A PRIVATE BALANCE SHEET REACHED SOVEREIGN SCALE

The claim is digital. The asset footprint is institutional.

FIGURE 2 / CONCENTRATION

A private issuer reached $141 billion

Tether's reported direct and indirect Treasury exposure nearly doubled from the first comparable disclosure in June 2023 to March 2026.



SOURCE Tether quarterly attestation announcements, Q2 2023, Q2 2024, Q1 2025, and Q1 2026.

METHOD Issuer-reported direct + indirect exposure. March 2025 was disclosed as "approaching $120B."

The largest example is Tether.

In its first-quarter 2026 attestation, Tether reported about $183 billion of token-related liabilities, $191.8 billion of assets, and $8.2 billion of excess reserves. It reported $141 billion of direct and indirect exposure to United States Treasury bills. That exposure was $72.5 billion in the second quarter of 2023 and $97.6 billion a year later, using the company's direct-plus-indirect measure.

The growth is remarkable, but the footnotes matter. Tether's quarterly figures are attestations, not the full financial-statement audit the company said it initiated in 2026. Its reserve portfolio also includes assets outside Treasury bills. The headline number should therefore be read as issuer-reported exposure under a stated perimeter, not as a regulatory holdings statistic.

Even with that caveat, the direction is unambiguous. A company whose liability is a digital token has assembled a Treasury position comparable with the bill portfolios of major institutional investors. Its users are dispersed across exchanges, wallets, trading firms, merchants, and jurisdictions. Their collective preference for a portable dollar becomes one concentrated reserve account.

This is financial intermediation in a new organizational form. A bank turns deposits into loans and securities. A money fund turns shares into a portfolio of short instruments and passes most of the yield to shareholders. A stablecoin issuer turns redeemable tokens into a reserve portfolio and usually retains the carry.

Calling the token "cash" describes the user experience. Calling the issuer a narrow bank or money fund describes pieces of the balance sheet. None is a perfect label. The mismatch between the interface and the economics is exactly what makes the sector important.

THE CARRY BECAME THE COMPANY

The token holder supplied the funding. The issuer kept the yield.



Stablecoin users generally do not receive the yield on the reserve portfolio. The issuer does.

Circle's 2025 annual filing makes the economics unusually visible. Reserve income rose from $1.43 billion in 2023 to $1.66 billion in 2024 and $2.64 billion in 2025. In 2025, reserve income represented 96 percent of total revenue. Other revenue was $109.8 million.

The movement inside that result is even more revealing. Circle reported that the increase in average USDC circulation added roughly $1.4 billion to annual reserve income. A 90-basis-point decline in average yields subtracted about $442 million. The final increase was $975.7 million.

This is a spread business disguised as payment infrastructure. The user receives a liquid digital claim. The issuer receives the return on the assets backing it. More tokens expand the interest-earning balance sheet. Higher short-term rates widen the gross revenue opportunity. Lower rates expose how much growth is needed to offset yield compression.

At the end of 2025, Circle said about 88 percent of USDC reserves were invested in the Circle Reserve Fund, a government money-market fund managed by BlackRock. The rest was typically held as cash at banks. In the first quarter of 2026, average USDC in circulation rose to $75.2 billion from $54.1 billion a year earlier, while the reserve return rate fell to 3.5 percent from 4.2 percent. Scale rose as carry declined.

This model creates an unusual policy alignment. Issuers want more circulating tokens because each one enlarges the reserve base. The Treasury wants reliable buyers of bills. Users want fast dollar settlement. Regulators want liquid backing. All four objectives can point toward the same short government securities.

They do not point toward the same distribution of income. The issuer captures the yield, pays distribution and operating partners, and bears the cost of liquidity. The token holder supplies the funding and receives par convertibility instead of interest. That bargain can be attractive. It should still be seen clearly.

THE OLDEST PROMISE IN MONEY IS STILL REDEMPTION

The arrow can reverse.



PHOTOGRAPH: National Photo Company Collection / Library of Congress. Public domain in the United States.

Every growth chart quietly assumes that the next transaction is another mint. A run begins when the next transaction is a redemption.

If users return tokens, the issuer needs cash. Bank deposits and maturing bills supply some of it. Larger redemptions can require repo borrowing, sales of bills, or withdrawals from a government money fund that must in turn raise cash. The demand channel reverses: the buyer of last week can become the seller of today.

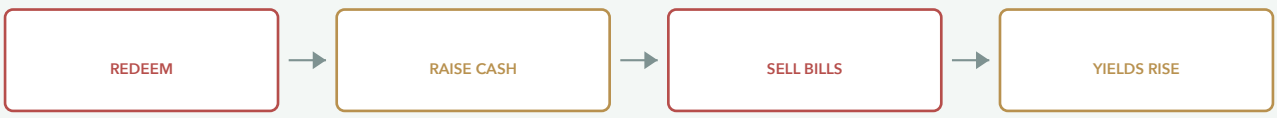
Short maturity and high asset quality reduce the chance of a credit loss. They do not guarantee that a large portfolio can be liquidated at the desired price in every state of the world. The June 2026 BIS work on stablecoin regulation models precisely this tension. Demandable coins are backed partly by bonds that are less liquid than cash. A run can impose losses on coin holders and spill into money markets through asset sales.

The most uncomfortable overlap is timing. The safe-asset-price paper finds that stablecoin flows have their greatest yield impact when Treasury intermediation is already stressed. A redemption wave caused by crypto-market stress could therefore produce bill sales when dealer balance sheets are least elastic. The reserve rule lowers credit risk while concentrating the system in one liquidity habitat.

This does not mean stablecoins are destined to destabilize the Treasury market. The current sector is small relative to the bill market, permitted reserves are short and high quality, and transparency and redemption rules can improve resilience. It means the correct stress test is not "Are the reserves safe?" It is "How quickly can this specific portfolio become cash when every holder sees the same redeem button?"

The first question is about assets. The second is about market capacity.

WHEN THE ARROW REVERSES



WHAT TO WATCH NOW

Five observables are more useful than one heroic market-size forecast



PHOTOGRAPH: Kidfly182. CC BY 4.0.

The stablecoin-Treasury link can be monitored without pretending to know the market's final size.

First, watch the source of new demand. Offshore payment adoption is more likely to add to global dollar holdings than a rotation from a domestic money fund. Geography and use case matter as much as market capitalization.

Second, watch reserve composition. A token backed by bank deposits has a different effect on Treasury demand and bank funding from one backed directly by bills. A token backed through a government money fund adds another intermediary between the holder and the security.

Third, watch maturity and concentration. The 93-day legal ceiling creates a preferred habitat. If a few issuers cluster in the same bill tenors or the same repo counterparties, individually liquid portfolios can create collective crowding.

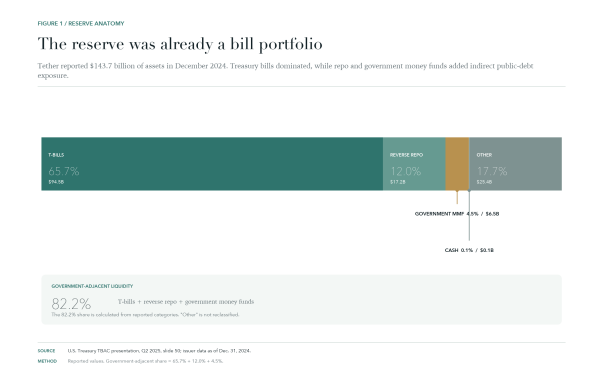
Fourth, watch who receives the carry. Reserve income is not a side effect. It shapes issuer incentives, distribution deals, product design, and sensitivity to Federal Reserve policy.

Fifth, watch redemptions, not just issuance. Growth creates a buyer. Confidence determines whether that buyer stays.

01	02	03	04	05
SOURCE	MIX	TENOR	CARRY	REDEMPTIONS
Offshore or domestic?	Bills, deposits, or repo?	Who crowds the 93-day habitat?	Who receives the yield?	Can the portfolio become cash?

FOUR OBJECTS. FOUR QUESTIONS.

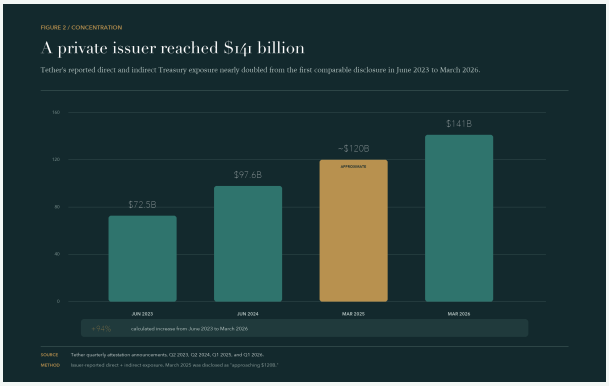
Stock, concentration, price, and business model should never be collapsed into one number



01 / RESERVE

What does the token actually own?

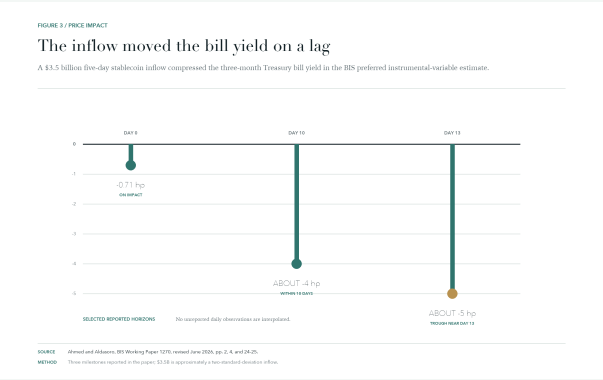
82.2% GOVERNMENT-ADJACENT LIQUIDITY



02 / CONCENTRATION

Who holds the bill portfolio?

$141B ISSUER-REPORTED EXPOSURE



03 / PRICE

Can the flow move the yield?

ABOUT -4 BP WITHIN 10 DAYS



04 / CARRY

Who receives the income?

96% OF CIRCLE REVENUE IN 2025

THE TOKEN STILL SETTLES THROUGH A BALANCE SHEET

The strongest conclusion is neither a trillion-dollar slogan nor a dismissal

The most persuasive stablecoin story is neither the slogan that digital dollars will finance trillions of government debt nor the dismissal that their holdings are too small to matter. The evidence supports a more disciplined conclusion.

Stablecoins have created a new, concentrated conduit into the front end of the Treasury market. Some of the money is new. Some has been relabeled. The flows already affect short bill yields, the carry already dominates a public issuer's revenue, and the same portfolio that absorbs supply in calm markets can release it under redemption pressure.

The token may move on a blockchain. Its promise is still settled by a balance sheet.

$320B	$153B	$33B	<1%
MARKET	T-BILL RESERVES	2025 PURCHASES	OF TREASURIES

If a digital dollar's safety depends on a portfolio of public debt, is it replacing the old financial system, or becoming its newest distribution channel?

RESEARCH RECORD

Primary sources, figure boundaries, and photograph licenses

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6. BIS Working Paper 1355, Making stablecoins stable(r): can regulation help?
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17. Tether first-quarter 2026 attestation announcement
https://tether.io/news/tether-posts-1-04b-q1-2026-profit-despite-highly-volatile-global-markets-reaches-all-time-highs-8-23b-reserve-buffer-and-maintains-u-s-treasury-heavy-backing/

FIGURE BOUNDARIES

01 / ISSUER-REPORTED RESERVE CATEGORIES; 82.2% IS CALCULATED.

02 / ISSUER ATTESTATIONS; MARCH 2025 REMAINS APPROXIMATE.

03 / THREE REPORTED HORIZONS; NO DAILY SERIES IS INVENTED.

04 / SEC-FILED REVENUE AND COMPANY-REPORTED DRIVERS.

EDITORIAL METHOD

Reported facts, calculated values, estimates, and issuer claims remain visibly separate. The article treats the GENIUS Act as enacted law whose full federal operating regime is still under rulemaking as of August 14, 2026.

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